

Shapley R^2 decomposition

Support raising taxes on high incomes to expand low-income programs (Stantcheva 2020/21)

Full model $R^2 = 0.239$, $N = 2,721$ (*complete-case*)

By variable

#	Variable	% R^2
1	raising income tax on high earners would hurt/help the economy	19.9%
2	why a person is rich: effort vs. advantages	15.5%
3	middle class mostly wins if overall taxes are increased	14.4%
4	working class mostly wins if overall taxes are increased	9.1%
5	upper-middle class mostly wins if overall taxes are increased	7.6%
6	Laffer effect: tax cuts on high-income households and the deficit	5.4%
7	lower class or poor mostly wins if taxes on high earners are cut	5.3%
8	working class mostly wins if taxes on high earners are cut	4.3%
<i>— variables with <3% contribution omitted —</i>		

By cluster

#	Cluster	% R^2
1	policy incidence	46.6%
2	aggregate incentives / inequality positive-sum	25.6%
3	wealth from effort/merit	15.5%
4	individual incentives / tax elasticity	5.7%
<i>— clusters with <5% contribution omitted —</i>		